MGT 101(Module 10-14 MCQS)
(New Course-2021)
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Question No. 01

_____ is the systematic allocation of the depreciable amount of an asset over its useful life.

A. **Depreciable Amount**

B. **Accumulated Depreciation**

C. **Depreciation**

D. **All of the above**

1. Depreciation

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life

2. Accumulated Depreciation

Accumulated depreciation is the amount of depreciation plus previous amount of depreciation.

3. Useful Life

Useful life is the period over which an asset is expected to be used.

4. Depreciable Amount

Cost of an asset, or other amount substituted for cost, less its residual value.

5. Residual Value

Residual Value is the cost of the asset after the expiry of its useful life.

Question No. 02

Which of the following is NOT components of cost components:

A. **Purchase Price**

B. **Import Duties**

C. **Cost of Restoration**

D. **Indirect Cost**

1. Cost Components

Following are include in Cost Components:

1. Purchase Price - Trade Discounts & Rebates
2. Import Duties
3. Non-refundable Purchase Taxes
4. Direct Cost
5. Estimated Cost of Dismantling
6. Removal and Site Restoration Cost

Question No. 03

Which of the following is method used for recognizing an assets property, plant and equipment:

A. Cost Model

B. Revaluation Model

C. Both A and B

D. None of the above

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Question No. 04

Which of the following is the method of calculating depreciation?

A. **Sum of Years Digit Method**

B. **Number of Units Output Method**

C. **Number of Service Hours Method**

D. **All of the above**

1. Methods of Depreciation

Following are include in Cost Components

1. Straight line method
2. Reducing balance method
3. Sum of years digit method
4. Number of units output method
5. Number of service hours method

Question No. 05

On 1.1.2021 for company purchase machine Rs. 80,000. Its residual value is estimated Rs. 20,000 with 3 years useful life. Calculate depreciation of 1st year by using straight line method.

A. 2,000

B. 20,000

C. 26,667

D. 6,667

1. Methods of Depreciation

Following are include in Cost Components:

1. Straight line method

Formula:

Depreciation = Depreciable Amount / Useful Life

Depreciable Amount = Cost – Residual Value

Cost of Machine = 80,000

Residual Value = 20,000

= 80,000 - 20,000

= 60,000

Depreciation = Depreciable Amount / Useful Life

= 60,000 / 3

= 20,000

Question No. 06

On 1.1.2021 for company purchase machine Rs. 80,000. Its residual value is estimated Rs. 2,000 with 4 years useful life. Calculate the depreciation rate?

A. **25%**

B. **61%**

C. **39%**

D. **None of the above**

1. Methods of Depreciation

Following are include in Cost Components:

1. Reducing Balance Method

Formula:

Depreciation Rate = $1 - \sqrt[n]{\text{Residual Value / Cost}}$

Cost of Machine = 80,000

Residual Value = 2,000

Useful Life = 4 Year

$= 1 - \sqrt[4]{2,000 / 80,000}$

$= 1 - \sqrt[4]{0.025}$

$= 1 - (0.025)^{1/4}$

$= 1 - (0.025)^{0.25}$

$= 1 - 0.39$

$= 0.61$ **= 61%**

Question No. 07

On 1.1.2021 for company purchase machine Rs. 80,000. Its useful life is 4 years and depreciation rate is 61%. Calculate the depreciation of 3rd year by using the reducing balance method.

A. Rs. 48,800

B. Rs. 19,032

C. Rs. 7,423

D. Rs. 2,895

1. Methods of Depreciation

Following are include in Cost Components:

1. Reducing Balance Method

Cost of Machine = 80,000
Useful Life = 4 Year
Depreciation Rate = 61%

Particulars	Depreciation	Accumulated	WDV
Cost of Machine			80,000
1st Year Depreciation = 80,000 * 61 / 100	48,800	48,800	31,200
2nd Year Depreciation = 31,200 * 61 / 100	19,032	67,832	12,168
3rd Year Depreciation = 12,168 * 61 / 100	7,423	75,255	4,745
4th Year Depreciation = 4,745 * 61 / 100	2,895	78,150	1,850

Question No. 08

A machine costing Rs. 80,000, residual value Rs. 2,000 with 4 years useful life. It works estimate 12000 hours & produce 40,000 units. Actual is:

Year	Hours	Units
2019	2,000	7,000
2020	5,000	15,000

Calculate Depreciation by using **Usage method**.

A. 13,000

B. 32,500

C. 80,000

D. 45,500

1. Methods of Depreciation

Following are include in Cost Components:

1. Service Hours Method/Usage method

Formula: Depreciation

= Depreciable Amount / Total Estimated Hours

Depreciable Amount = Cost – Residual Value

= 80,000 - 2,000 **= 78,000**

= Depreciable Amount / Total Estimated Hours

= 78,000 / 12,000 **= 6.5 Per Hour**

Year	Calculation	Total
2019	2,000 x 6.50	13,000
2020	5,000 x 6.50	32,500
Total		**45,500**

Question No. 09

A machine costing Rs. 80,000, residual value Rs. 2,000 with 4 years useful life. It works estimate 12000 hours & produce 40,000 units. Actual is:

Year	Hours	Units
2019	2,000	7,000
2020	5,000	15,000

Calculate depreciation using **production method**

A. 13,000

B. 32,500

C. 42,900

D. 45,500

1. Methods of Depreciation

Following are include in Cost Components:

1. Units Output/Production Method

Formula: Depreciation

= Depreciable Amount / Total Estimated Output

Depreciable Amount = Cost – Residual Value

= 80,000 - 2,000 **= 78,000**

= Depreciable Amount / Total Estimated Output

= 78,000 / 40,000 **= 1.95 Per Hour**

Year	Calculation	Total
2019	7,000 x 1.95	13,650
2020	15,000 x 1.95	29,250
Total		**42,900**

Question No. 10

A machine costing Rs. 80,000, residual value Rs. 2,000 with 4 years useful life. Calculate depreciation of 4th year using **Sum of Years' Digit Method.**

A. **7,800**

B. **15,600**

C. **23,400**

D. **31,200**

1. Methods of Depreciation

Following are include in Cost Components:

1. Sum of Years' Digit Method

Formula: Depreciation

= Depreciable Amount / Sum Year Digit Method

Sum Year Digit Method = 4 + 3 + 2 + 1 = **10**

= 80,000 - 2,000 **= 78,000**

Year	Calculation	Total
1st Year	78,000 x 4 / 10	31,200
2nd Year	78,000 x 3 / 10	23,400
3rd Year	78,000 x 2 / 10	15,600
4th Year	78,000 x 1 / 10	7,800
Total		**78,000**

First year mean the Machine is expected to be used for 4 year, in second year the Machine is expected to be used for 3 years, and so on.

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Question No. 11

Which of the following asset is NOT depreciated?

A. Factory Buildings

B. Land

C. Office Equipment

D. Plant & Machinery

Assets which is not Depreciated

1. Land

Because its value increases time to time.

Question No. 12

Under the straight line method of depreciation:

A. **Depreciation amount increase every year**

B. **Depreciation amount decrease every year**

C. **Depreciation amount constant every year**

D. **None of the above**

1. Methods of Depreciation

Following are include in Cost Components:

1. Straight Line Method

Cost of Machine = 80,000
Useful Life = 4 Year

Particulars	Depreciation	Accumulated	WDV
Cost of Machine			80,000
1st Year Depreciation = 80,000 / 4 = **20,000**	20,000	20,000	60,000
2nd Year Depreciation = 80,000 / 4 = **20,000**	20,000	40,000	40,000
3rd Year Depreciation = 80,000 / 4 = **20,000**	20,000	60,000	20,000
4th Year Depreciation = 80,000 / 4 = **20,000**	20,000	80,000	0

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Question No. 13

_____ is ledger account that represents numerous ledger accounts of similar nature.

A. Account

B. Ledger

C. Control Account

D. All of the above

Control Account

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

1. Debtor Control Accounts

یہ Against کے Sale بنتے ہیں۔

2. Creditor Control Accounts

یہ Against کے Purchase بنتے ہیں۔

Question No. 14

Which of the following are the Control Accounts?

A. **Debtor Control Account**

B. **Creditor Control Account**

C. **Subsidiary Control Account**

D. **Both A and B**

Control Account

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

1. Debtor Control Accounts

یہ Against کے Sale بنتے ہیں۔

2. Creditor Control Accounts

یہ Against کے Purchase بنتے ہیں۔

Question No. 15

Credit sales appear on the _____ side of the Debtors control account.

A. **Left side or credit**

B. **Left side or debit**

C. **Right side or credit**

D. **Right side or debit**

1. Debtor Control Accounts

یہ Sale کے Against بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Credit Sales	XXX	Cash / Cheque Received	XXX
Cheque Dishonored	XXX	Discount Allowed	XXX
Receivable Dishonored	XXX	Sales Returned	XXX
Interest to Debtors	XXX	Bad Debts	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

2. Creditor Control Accounts

یہ Purchase کے Against بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Cash / Cheque Payable	XXX	Credit Purchase	XXX
Discount Received	XXX	Cheque Dishonored	XXX
Purchase Returned	XXX	Payable Dishonored	XXX
Contra Entry	XXX	Interest to Creditor	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

Question No. 16

Credit Purchase appear on the _____ side of the Creditor control account.

A. **Left side or credit**

B. **Left side or debit**

C. **Right side or credit**

D. **Right side or debit**

1. Debtor Control Accounts

یہ Against کے Sale بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Credit Sales	XXX	Cash / Cheque Received	XXX
Cheque Dishonored	XXX	Discount Allowed	XXX
Receivable Dishonored	XXX	Sales Returned	XXX
Interest to Debtors	XXX	Bad Debts	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

2. Creditor Control Accounts

یہ Against کے Purchase بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Cash / Cheque Payable	XXX	Credit Purchase	XXX
Discount Received	XXX	Cheque Dishonored	XXX
Purchase Returned	XXX	Payable Dishonored	XXX
Contra Entry	XXX	Interest to Creditor	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

Question No. 17

Bad Debts are record in:

A. **Debtor Control Account**

B. **Creditor Control Account**

C. **Subsidiary Control Account**

D. **Both A and B**

Control Account

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

1. Debtor Control Accounts

یہ Sale کے Against بنتے ہیں۔

2. Creditor Control Accounts

یہ Purchase کے Against بنتے ہیں۔

Question No. 18

Which of the following option is TRUE about the characteristic(s) of Bad Debt?

A. It is a definite loss to the business

B. It is not shown in Balance Sheet

C. No provision is necessary for it

D. All of the given options

Bad Debts

ایسے پیسے جو پتہ ہو کہ نہیں ملنے۔ان کو ہم Bad Debts کہتے ہیں۔

1. It is a definite loss to the business
2. It is shown in Balance Sheet
3. Provision is necessary for it

Question No. 19

Which of the following entry is passed to record discount allowed in control account?

Discount in Control Account

Discounts Received In Control Accounts

Debit: Creditors Control Account
Credit: Discount Received Account

Discounts Allowed In Control Accounts

Debit: Discount Allowed Account
Credit: Debtors Control Account

A. **Discount Allowed (Dr) and Debtors A/c (Cr)**

B. **Discount Allowed (Dr) and Debtors Control A/c (Cr)**

C. **Debtors Control A/c (Dr) and Discount Allowed (Cr)**

D. **Debtors A/c (Dr) and Discount Allowed (Cr)**

Question No. 20

All of the following items may appear in Trade payable control account EXCEPT:

A. **Credit Purchases**

B. **Discount Received**

C. **Cash Purchases**

D. **Cash Paid to Creditors**

1. Debtor Control Accounts

یہ Sale کے Against بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Credit Sales	XXX	Cash / Cheque Received	XXX
Cheque Dishonored	XXX	Discount Allowed	XXX
Receivable Dishonored	XXX	Sales Returned	XXX
Interest to Debtors	XXX	Bad Debts	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

2. Creditor Control Accounts

یہ Purchase کے Against بنتے ہیں۔

Opening Dr. Balance	XXX	Opening Cr. Balance	XXX
Cash / Cheque Payable	XXX	Credit Purchase	XXX
Discount Received	XXX	Cheque Dishonored	XXX
Purchase Returned	XXX	Payable Dishonored	XXX
Contra Entry	XXX	Interest to Creditor	XXX
Closing Cr. Balance	XXX	Closing Dr. Balance	XXX
Total	**XXX**	**Total**	**XXX**

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Question No. 21

Control accounts are maintained for all of the following EXCEPT:

A. Inventory

B. Depreciation

C. Trade Receivables

D. Trade Payable

Control Account

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

1. Debtor Control Accounts

یہ Sale کے Against بنتے ہیں۔

2. Creditor Control Accounts

یہ Purchase کے Against بنتے ہیں۔

Question No. 22

_____ is the reduction is price charge from customer.

A. **Free Sample**

B. **Bonus**

C. **Coupon**

D. **Discount**

Discounts

Discount is the amount or reduction in price of goods and services charge from customers.

1. Discount Allowed

A discount allowed is when the seller of goods or services grants a payment discount to a buyer.

2. Discount Received

A discount received is the reverse situation, where the buyer of goods or services is granted a discount by the seller.

Question No. 23

The amount by which the seller agrees to reduce the price to the customer is called _____ .

A. Sales

B. Income

C. Discount Allowed

D. Discount Received

Discounts

Discount is the amount or reduction in price of goods and services charge from customers.

1. Discount Allowed

A discount allowed is when the seller of goods or services grants a payment discount to a buyer.

2. Discount Received

A discount received is the reverse situation, where the buyer of goods or services is granted a discount by the seller.

Question No. 24

_____ is the procedure of correcting errors made in entries either one side or on both sides of the transaction, which can be identified by making trial balance after passing all journal entries.

A. **Correcting Errors**

B. **Identifying Errors**

C. **Controlling Errors**

D. **Rectification of Error**

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 25

Which of the following are the categories of Rectification of Error?

A. Do NOT Cause difference in Trial Balance

B. Do Cause difference in Trial Balance

C. Both A and B

D. None of above

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 26

How many types of errors that do **NOT** Cause a difference in Trial Balance while preparing books of accounts.

A. Two

B. Four

C. Six

D. All of above

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 27

How many types of errors that do Cause a difference in Trial Balance while preparing books of accounts.

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A. One

B. Two

C. Three

D. All of above

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 28

Error of Omission, Error of Commission, Error of Principle, Error of Original Entry, Reversal of Entry and Compensating Error belongs to _____ .

A. **Do NOT Cause difference in Trial Balance**

B. **Do Cause difference in Trial Balance**

C. **Both A and B**

D. **None of above**

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of Omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 29

Suspense Account Error _____ Cause difference in Trial Balance.

A. **Do NOT**

B. **Do**

C. **Both A and B**

D. **None of above**

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of Omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 30

Error of Omission _____ Cause difference in Trial Balance.

A. **Do NOT**

B. **Do**

C. **Both A and B**

D. **None of above**

Rectification of Error

Rectification of Error is the procedure of correcting errors made in entries either one side or on both the sides of the transaction, which can be identified by making trial balance after passing all the journal entries.

Categories of Error

1. Do **NOT** Cause a difference in Trial Balance
2. Do Cause a difference in Trial Balance

1st Category

1. Error of Omission
2. Error of Commission
3. Error of Principle
4. Error of Original Entry
5. Reversal of Entry
6. Compensating Error

2nd Category

1. Suspense Account Error

Question No. 31

Sale of goods to Mr. Amir is wrongly debited to Umair A/C (debtor) instead of Amir A/C (debtor), this is an example of:

A. **Error of omission**

B. **Error of Commission**

C. **Error of Principle**

D. **Error of Original Entry**

1. Error of omission

This means that an event occurred but we did not record it.

2. Error of Commission

In this we have recorded transaction but in wrong classification of account. **Example:** Purchase computer Rs.5,000 for office was wrongly debited to the furniture account. (Dr. / Cr. Correct but main Head same) Computer or Furniture is belongs to Assets.

3. Error of Principle

In this we have recorded transaction but in wrong classification of account as well as in wrong head. **Example:** Purchase computer Rs.5,000 for office was wrongly debited to stationary account. (Dr. / Cr. Correct & main Head wrong) Computer is belongs to Assets and Stationary is belongs to Expenses.

4. Error of Original Entry

The errors in which recording is in correct account but the figure is incorrect is Called Error of Original Entry. **Example:** we have purchase goods are 250 but recorded as 520 in books of Accounts.

5. Reversal of Entry

Then, there are errors in which the entry is reversed by mistake. This means that the account that should have been debited is credited and vice versa. **Example:** A payment of Rs. 10,000 made to Mr. D is recorded on the receipt side of the cash book and credit is given to D's account.

6. Compensating Error

When the sum of more than one errors cancels the accounting effect of each other. **Example:** Sales were less credited with Rs. 260 and Opening balance of capital account was recorded Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was charge extra.

Question No. 32

Which of the following is an **Error of Omission**?

A. **Bank Charges Deducted by Bank**

B. **Pay Cash to Debtor and Recorded**

C. **Purchase Vehicle recorded in Repairs A/C**

D. **Receipts Rs. 50,000 Recorded in A/C**

1. Error of omission

This means that an event occurred but we did not record it.

2. Error of Commission

In this we have recorded transaction but in wrong classification of account. **Example:** Purchase computer Rs.5,000 for office was wrongly debited to the furniture account. (Dr. / Cr. Correct but main Head same) Computer or Furniture is belongs to Assets.

3. Error of Principle

In this we have recorded transaction but in wrong classification of account as well as in wrong head. **Example:** Purchase computer Rs.5,000 for office was wrongly debited to stationary account. (Dr. / Cr. Correct & main Head wrong) Computer is belongs to Assets and Stationary is belongs to Expenses.

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6. Compensating Error

When the sum of more than one errors cancels the accounting effect of each other. **Example:** Sales were less credited with Rs. 260 and Opening balance of capital account was recorded Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was charge extra.

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Question No. 33

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

A. **Error of omission**

B. **Error of Commission**

C. **Error of Principle**

D. **Error of Original Entry**

1. Error of omission

This means that an event occurred but we did not record it.

2. Error of Commission

In this we have recorded transaction but in wrong classification of account. **Example:** Purchase computer Rs.5,000 for office was wrongly debited to the furniture account. (Dr. / Cr. Correct but main Head same) Computer or Furniture is belongs to Assets.

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6. Compensating Error

When the sum of more than one errors cancels the accounting effect of each other. **Example:** Sales were less credited with Rs. 260 and Opening balance of capital account was recorded Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was charge extra.

Question No. 34

Which is correct for the Accounting Equation.

A. Assets = Liabilities

B. Assets + Liabilities = Owner's Equity

C. Assets + Owner's Equity = Liabilities

D. Assets - Liabilities = Owner's Equity

Assets = Liabilities + Owner's Equity

Assets - Liabilities = Owner's Equity

Assets - Equity = Liabilities

Question No. 35

In AEILO "O" represent:

A. Assets

B. Capital

C. Expenses

D. Liabilities

A = Assets

E = Expenses

I = Income

L = Liability

O = Capital

Question No. 37

In AEILO "E" represent:

A. **Assets**

B. **Equity**

C. **Expenses**

D. **Liabilities**

A = Assets

E = Expenses

I = Income

L = Liability

O = Capital

Question No. 37

In AEILO "E" represent:

A. Assets

B. Equity

C. Expenses

D. Liabilities

A = Assets

E = Expenses

I = Income

L = Liability

O = Capital

Question No. 38

Net Profit + Expenses = _____

A. Liabilities

B. Assets

C. Capital

D. Income

Income = Net Profit + Expenses

Expenses = Net Profit - Income

Net Profit = Income - Expenses

Question No. 39

The books Mr. Mohsin shows Following:

Sales = 10,000 Return = 1,000 Discount = 500

Calculate the Net Sale from the above Information.

A. Rs. 500

B. Rs. 8,500

C. Rs. 1,000

D. Rs. 10,000

1. Net Sales

Formula:

Net Sales = Sales – Sales Return – Discount

Sales = 10,000
Return = 1,000
Discount = 500

Net Sales = Sales – Sales Return – Discount
= 10,000 – 1,000 – 500
= 8,500

Question No. 40

The books Mr. Mohsin shows Following:

Purchase = 50,000 Return = 5,000

Discount Receive = 10,000

Calculate the Net Purchase from said Information.

A. Rs. 35,000

B. Rs. 5,000

C. Rs. 50,000

D. Rs. 10,000

1. Net Sales

Formula:

Net Purchase = Purchase – Purchase Return – Discount Received

Purchase = 50,000
Return = 5,000
Discount = 10,000

= Purchase – Purchase Return – Discount Received

= 50,000 – 5,000 – 10,000

= 35,000

Question No. 41

The expenses is classified into _____ heads.

A. One

B. Three

C. Five

D. Seven

1. Cost of Goods Sold Expense
2. Administrative Expense
3. Selling and Distribution Expense
4. Financial Expense
5. Income Tax Expenses

Question No. 42

Which of the following expenses are known as operating expense?

A. Selling and Distribution Expense

B. Administrative Expense

C. Financial Expense

D. Both A and B

1. Operating Expense

Administrative and selling expenses; together are known as operating expense.

Question No. 43

Merchandise on hand at either the beginning or end of the reporting period is called_____.

A. **Raw Material**

B. **Cost of Good Sold**

C. **Work in Process**

D. **Inventory**

Inventory / Stock

ایسا مال جو سال کے شروع میں یا آخر میں بچ جائے تو اس کو Stock یا Inventory کہتے ہیں۔

Types of Inventories

1. Raw Material or Supplies inventory
2. Work in Process Inventory
3. Finished Goods Inventory

Question No. 44

If
The cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

What would be the value of total manufacturing cost?

A. Rs. 8,000

B. Rs. 3,000

C. Rs. 5,000

D. Rs. 2,000

1 Material
2 Labor
3 FOH (Factory Over Head)

1 Material
2 Labor
} **Prime Cost**

2 Labor
3 FOH (Factory Over Head)
} **Conversion Cost**

1 Material
2 Labor
3 FOH (Factory Over Head)
} **Total Factory Cost Manufacturing Cost**

1 Material Cost = 5,000
2 Labor Cost = 2,000
3 FOH Cost = 1,000

Manufacturing Cost = 8,000

Question No. 45

In cost of goods sold statement the **'cost of goods manufactured'** is equal to:

1	Material Cost	= XXX
2	Labor Cost	= XXX
3	FOH Cost	= XXX
	Total Factory Cost	**= XXX**
Add	Opening W.I.P	= XXX
	Cost of goods to be Manufactured	**= XXX**
	Less Closing W.I.P	= (XXX)
	Cost of goods Manufactured	**= XXX**

A. **Total Factory Cost + Opening work in Process + Ending Work in Process**

B. **Total Factory Cost + Opening Work in Process – Ending Work in Process**

C. **Total Factory Cost - Opening work in Process + Ending work in Process**

D. **Ending Work in Process +Total Factory Cost – Opening Work in Process**

Question No. 46

Which of the following is an example of direct materials cost?

A. **Polish and finishing material for chair**

B. **Production worker's wages**

C. **Depreciation expenses**

D. **A piece of wood for the production of chair**

Direct Cost

ایسے اخراجات جو کسی شے سے Direct Relate کرتے ہوں مطلب اس کے بغیر شے نہ بن سکے۔ مثلاً کرسی

1. Wood
2. Steel

In-Direct Cost

ایسے اخراجات جو کسی شے سے Direct Relate کرتے ہوں مطلب اس کے بغیر شے بن سکے۔ مثلاً کرسی

1. Polish
2. Nails / Pins

Question No. 47

Which of the following is **NOT** include in Manufacturing Cycle?

A. **Direct Material Cost**

B. **Direct Labor Cost**

C. **Indirect Cost**

D. **Direct Cost**

1. Manufacturing Cycle

Manufacturing Cycle include following

1. Direct Material Cost
2. Direct Labor Cost
3. Other Direct Cost
4. Factory Overhead Cost

Question No. 48

_____ are main types of inventories that identified for manufacturing entity.

A. **Raw Material or Supplies inventory**

B. **Work in Process Inventory**

C. **Finished Goods Inventory**

D. **All of the above**

Inventory / Stock

ایسا مال جو سال کے شروع میں یا آخر میں بچ جائے تو اس کو Stock یا Inventory کہتے ہیں۔

Types of Inventories

1. Raw Material or Supplies inventory
2. Work in Process Inventory
3. Finished Goods Inventory

Question No. 49

The company Opening Stock 10,000 Purchases 100,000 Closing Stock 20,000 and Labor Cost 60,000.

Calculate the Prime Cost of the Company.

A. Rs. 100,000

B. Rs. 150,000

C. Rs. 110,000

D. Rs. 120,000

Cost of Goods Sold

	Opening Stock Raw Material	10,000
Add	Purchases	100,000
Less	Closing Stock Raw Material	(20,000)
	Cost of Material Consumed	**90,000**
Add	Labor Cost	60,000
	Prime Cost	**150,000**

Question No. 50

The same company has 90,000 FOH, and cost

	W.I.P	Finished Goods
Opening	30,000	100,000
Closing	50,000	10,000

Calculate Cost of Goods Sold.

A. Rs. 300,000

B. Rs. 240,000

C. Rs. 220,000

D. Rs. 310,000

Cost of Goods Sold

	Opening Stock Raw Material	10,000
Add	Purchases	100,000
Less	Closing Stock Raw Material	(20,000)
	Cost of Material Consumed	**90,000**
Add	Labor Cost	60,000
	Prime Cost	**150,000**
Add	FOH	90,000
	Total Factory Costs	**240,000**
Add	Opening Work in Process	30,000
Less	Closing Work in Process	(50,000)
	Cost of Goods Manufactured	**220,000**
Add	Opening Finished Goods	100,000
Less	Closing Finished Goods	(10,000)
	Cost of Goods Sold	**310,000**